

Divis Laboratories Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.divislaboratories.com/lander
Sector	nan
Market Cap	1,615,028.67 Cr
PE Ratio	69.95
PB Ratio	12.34
Dividend Yield	1.39 %

Financial Quality

ROE	12.2
ROCE	16.5
CFO Quality	Moderate
FCF CAGR	14.44%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Low Reinvestment
Debt Trend	Deleveraging
Leverage	Low

Business Overview

Incorporated in 1990, Divis Laboratories Ltd manufactures and exports API's, Intermediates and Nutraceutical ingredients

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Debt-free balance sheet provides financial flexibility and eliminates interest burden.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.